

Credit Card

Processing Fees & Rates

Who's Involved?

First let's introduce you to the parties involved with credit card processing fees. Consider these the financial "middlemen" between a customer and a merchant (you).



Credit Card Associations

These are the people who operate the whole credit card network. They set the rules, and everyone else abides by them.



Credit Card Issuing Banks

These are the people that issue credit cards. You can identify them by their logo on any given credit card.



Credit Card Processors and Merchant Account Providers

These guys resell credit card processing services. They are the people you go to when you need a merchant account.



Payment Gateways

These guys allow eCommerce merchants to accept online payments by offering a payment gateway.

Where Do They Fit Into a Transaction?

In any given credit card transaction, the above mentioned parties play a role.



Credit Card Transaction Flow

Types of Fees

There are three types of fees: transactional fees, flat fees, and incidental fees. They all combine to make the total cost of your merchant account.



Total Cost of Merchant Account

Incidental Fees

Flat Fees

Transactional Fees

Who Charges What?

Now let's look at which player charges which fee(s)



Breakdown of Fees

There are hundreds of payment processing companies which is where your cost reductions can happen.

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Transactional Fees

These fees are assessed every time you run a transaction. They represent the biggest cost of operating a merchant account.

	Interchange Reimbursement Fees Consist of a percentage of each transaction accompanied by a flat per transaction fee (1.50% + .10). This fee can vary depending on the type of transaction.	How Often Per Transaction
		Average Cost Varies
		Ideal Cost Varies
	Dues & Assessments Typically based on a percentage of the total transaction volume for the month. Examples of these non-negotiable dues and assessment fees on merchant account statements include: Merit 1/eCommerce/CNP fees, NABU/APF/data usage fees,	How Often Monthly
		Average Cost Varies
		Ideal Cost Varies

Flat Fees

In addition to transactional fees, you may be charged some flat fees as well. These vary by name, value, and applicability, but at least some of them will show up on your monthly statements. There are three types of flat fees: standard, add-on service, and junk fees.

Standard

These fees are predictable and usually come up every month.

	Monthly Fee Every processor charges a monthly fee, but they all seem to call it something different. It might be called an admin fee, statement fee or maintenance fee, but really it just serves as your base processing fee. You should only be charged ONE of these fees	How Often Monthly
		Average Cost \$10 - \$35
		Ideal Cost \$8 - \$20
	Monthly Minimum Fee If you're only charged \$10 in processing fees over the course of a month and you have a \$25 monthly minimum, you'll be charged \$15 in addition to the \$10 so that you meet the \$25 minimum charge.	How Often Monthly
		Average Cost \$20 - \$40
		Ideal Cost \$0
	IRS Report Fee This covers the cost of filing your annual transaction volume with the IRS. Some processors charge a small fee to offset their cost, while others consider this part of the basic account cost.	How Often Annual
		Average Cost \$20 - \$35
		Ideal Cost \$0 - \$20
	PCI Compliance Fee In order to cover the cost of maintaining PCI compliance and helping you to do the same, some processors charge an additional fee. Unless the processor is providing you with a tangible PCI service, they should not charge you this fee.	How Often Annual or Quarterly
		Average Cost \$80 - \$120
		Ideal Cost \$0
	PCI Non-Compliance Fee Even processors that do not charge a PCI compliance fee will usually charge a non-compliance fee. You can easily avoid this by filing the PCI Self-Assessment Questionnaire (SAQ).	How Often Monthly
		Average Cost \$25 - \$30
		Ideal Cost \$0 - \$25

Want to know More About Interchange Reimbursement?

Every credit card transaction has an associated interchange fee. The wholesale charge for each transaction is determined by credit card associations (Visa, MasterCard, etc.) and is called "Interchange reimbursement." Different types of transactions have different interchange rates.



Retail Swipe Transaction
1.50% \$0.10



eCommerce/Keyed-In Transaction
1.80% + \$0.10



Debit Transaction
0.80% + \$0.15

(varies depending on the type of credit card used)

Add-On Service Fees

While standard fees cover many basic services, some others may be offered a la carte. If you need the service, you can pay the extra fee. If not, you're free and clear!

	Terminal Purchase Fee For retail accounts that require a countertop machine, your best bet is to buy it outright. It will only cost \$200 - \$400 in most cases, and quickly pays for itself.	How Often One-Time
		Average Cost \$200 - \$400
		Ideal Cost \$150 - \$350
	Terminal Lease Fee With the exception of some low-cost, no-obligation rental plans, you should avoid terminal rentals and leases. They often end up costing thousands for a \$200 piece of equipment.	How Often Monthly
		Average Cost \$20 - \$100
		Ideal Cost \$0 - \$10
	Terminal Insurance Fee If you get a "free" credit card machine rental, expect to pay an annual warranty fee. Nothing is free!	How Often Annual
		Average Cost \$80 - \$150
		Ideal Cost \$0
	Payment Gateway/Virtual Terminal Monthly Fee eCommerce merchants will be charged this fee for access to a payment gateway.	How Often Monthly
		Average Cost \$15 - \$25
		Ideal Cost \$0 - \$20
	Payment Gateway/Virtual Terminal Setup Fee Fee charged for setting up your payment gateway or virtual terminal.	How Often Monthly \$15 - \$25
		Average Cost \$75 - \$100
		Ideal Cost \$0
	Merchant Club Fee Some processors will automatically sign merchants up for their "club." Benefits include free printer paper. Most of the time, it's not worth it.	How Often Monthly
		Average Cost \$5 - \$15
		Ideal Cost \$0
	Reprogramming Fee If you have a credit card machine that is up-to-date and compatible with your new processor, you can usually have it reprogrammed for free. Some processors charge about \$100 for the service, which is fair but not ideal.	How Often One-Time
		Average Cost \$0 - \$150
		Ideal Cost \$0

Junk Fees

Some fees are designed only to generate additional profit without providing you any additional benefit. We call these junk fees.

	Early Termination Fee While a small account closure fee can sometimes be appropriate, early termination fees are junk. Unless your processor bought out an existing contract or gave you a substantial sign-on bonus, never ever accept an early termination fee.	How Often One-Time
		Average Cost \$100 - \$8000
		Ideal Cost \$0
	Annual Fee The only time this is okay is if you have no additional monthly fee. Make sure it is refundable in case you decide to switch mid year. Usually, though, this is just a junk fee.	How Often Annual
		Average Cost \$50 - \$100
		Ideal Cost \$0
	Statement Fee This service should also be included with the basic monthly fee.	How Often Monthly
		Average Cost \$5 - \$10
		Ideal Cost \$0
	Online Reporting Fee This service should be included with the basic monthly fee.	How Often Monthly
		Average Cost \$5 - \$10
		Ideal Cost \$0
	Application Fee Unless you are a high-risk merchant, never pay an application fee, setup fee or activation fee. High-risk accounts take lot of time and effort to set up, so in those cases the fee may be appropriate.	How Often Monthly
		Average Cost \$5 - \$100
		Ideal Cost \$0
	Debit Network Fee This is a pure junk fee!	How Often Monthly
		Average Cost \$0 - \$10
		Ideal Cost \$0

Incidental Fees

Flat fees are always charged, but incidental fees only appear per incidence. When a chargeback occurs, for instance, you are charged a chargeback fee. Some months you will (hopefully!) not have any chargebacks, and therefore the fee will not be charged.

	Address Verification Service Fee If you have an e-commerce or telephone order business, beware of the AVS fee. It will be charged on every single transaction. For retail businesses that occasionally key-in card information, you don't need to worry about it as much.	How Often Per Incident
		Average Cost \$0 - \$0.05
		Ideal Cost \$0
	Voice Authorization Fee Rarely you may be required to call a toll-free number in order to verify certain information before a transaction is authorized. This doesn't occur often, so don't worry about it too much.	How Often Per Incident
		Average Cost \$1 - \$2.50
		Ideal Cost \$1.80
	Retrieval Request Fee Every time a customer initiates a dispute on a charge from your business, it sets into motion the chargeback protocol. This retrieval request is the first step. The fee covers any expense related to the retrieval request.	How Often Per Incident
		Average Cost \$0 - \$15
		Ideal Cost \$0 - \$10
	Chargeback Fee After the retrieval request, the actual chargeback may occur depending on the circumstances. If it does, expect another fee on top of losing the money from the sale.	How Often Per Incident
		Average Cost \$15 - \$25
		Ideal Cost \$20
	Batch Fee Every time you submit a batch of transactions, a batch fee (or batch header) is charged. It only happens once or twice a day, so don't worry too much about an extra dime or two.	How Often Per Incident
		Average Cost \$0.05 - \$0.25
		Ideal Cost \$0.10
	NSF Fee If you don't have enough funds in your bank account to cover your merchant account expenses, you will be assessed a NSF (non-sufficient funds) fee.	How Often Per Incident
		Average Cost \$0 - \$25
		Ideal Cost \$0 - \$10

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Pricing Models

When it comes to selling merchant accounts, there are four popular ways of pricing: interchange-plus, tiered pricing, subscription/membership, and blended.

Interchange-Plus Pricing

This is one of the most transparent pricing models available.



Tiered-Pricing

This is one of the least transparent pricing models available.



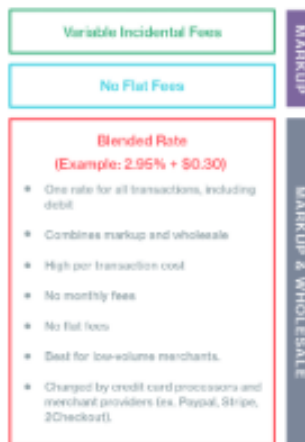
Subscription/Membership

This is a fairly new pricing system, but it's catching on.



Blended

This is like tiered pricing, but without the tiers.



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